

Economics Week Ahead

Weekly

U.S. inflation data are set to firm modestly in April, with headline CPI rising toward 3.8% year-over-year and core holding near 2.9%, reflecting energy-related pressures spilling into food, services and some goods even as shelter inflation continues to cool. Retail sales, meanwhile, are likely to show headline growth of about 0.7% month-over-month, but largely due to higher prices rather than stronger volumes, pointing to steady but increasingly price-constrained consumer demand. In the UK, growth appears to be cooling after early-quarter strength, with Q1 GDP tracking around 0.5%, consistent with a slowing but still stable economy and reinforcing the Bank of England's cautious, data-dependent stance. In Brazil, inflation is picking up more decisively, with April IPCA inflation near 0.9% month-over-month and around 4.5% year-over-year, highlighting rising energy and food pressures that complicate, but do not yet derail, a still-cautious path toward policy easing.

United States:

- [CPI](#) (Tuesday), [Retail Sales](#) (Thursday)

G10 Economies:

- [U.K. GDP](#) (Thursday)

Emerging Markets:

- [Brazil CPI](#) (Tuesday)

Wells Fargo Economics Week Ahead					
United States					
Indicator Releases		Period	Consensus	Wells Fargo	Prior
11-May	Existing Home Sales (SAAR)	Apr	4.05M	4.02M	3.98M
12-May	CPI (MoM)	Apr	0.6%	0.6%	0.9%
12-May	CPI (YoY)	Apr	3.7%	3.8%	3.3%
12-May	Core CPI (MoM)	Apr	0.3%	0.5%	0.2%
12-May	Core CPI (YoY)	Apr	2.7%	2.9%	2.6%
13-May	PPI Final Demand (MoM)	Apr	0.5%	0.4%	0.5%
13-May	PPI Final Demand (YoY)	Apr	4.9%	4.7%	4.0%
13-May	Core PPI (MoM)	Apr	0.3%	0.3%	0.1%
13-May	Core PPI (YoY)	Apr	4.3%	4.3%	3.8%
14-May	Retail Sales (MoM)	Apr	0.5%	0.7%	1.7%
14-May	Retail Sales Ex. Auto (MoM)	Apr	0.6%	0.8%	1.9%
14-May	Business Inventories (MoM)	Mar	0.3%	0.8%	0.4%
15-May	Industrial Production (MoM)	Apr	0.2%	-0.4%	-0.5%
15-May	Capacity Utilization	Apr	75.8%	75.6%	75.7%
Fed Speakers (*Designating 2026 Voting Member)					
12-May	NY Fed Quarterly Report on Household Debt and Credit (11:00a ET)				
12-May	Fed's Goolsbee Speaks at Greater Rockford Chamber of Commerce (1:00p ET)				
13-May	Fed's Collins Speaks on US Economy (11:30a ET)				
13-May	Fed's Kashkari* in Moderated Discussion (1:15p ET)				
14-May	Fed's Hammack* Gives Opening Remarks (1:00p ET)				
14-May	Fed's Barr* Speaks at Money Marketeers (5:30p ET)				
International					
G10 Economies		Period	Consensus	Wells Fargo	Prior
14-May	U.K. GDP (MoM)	Mar	-0.2%	-0.2%	0.5%
14-May	U.K. GDP (QoQ)	Mar	0.6%	0.5%	0.1%
14-May	U.K. GDP (YoY)	Mar	0.8%	0.9%	1.0%
Emerging Markets		Period	Consensus	Wells Fargo	Prior
12-May	Brazil CPI (MoM)	Apr	—	0.9%	0.88%
12-May	Brazil CPI (YoY)	Apr	—	4.5%	4.14%

Forecast as of May 08, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week Ahead

CPI • Tuesday

April's CPI report will be more interesting than usual. The ongoing conflict in the Middle East has kept energy prices elevated, which will start to generate more obvious spillovers into other areas of inflation. We estimate headline CPI to rise 0.63% over the month, lifting the year-over-year pace to 3.8%.

Energy goods are poised for a 6% monthly gain as the jump in crude oil prices continues to pass through to the pump. Food at home is likely to accelerate after March's pullback, with grocery prices set to strengthen later this year amid rising transportation costs and higher fuel and fertilizer input prices.

Excluding food and energy, we look for core CPI to increase 0.50% in April and 2.9% on a year-ago basis. The monthly pop is expected to be driven by core services, where strength will be partly—but not entirely—a mirage. The unwinding of a government shutdown-related survey quirk is expected to lead primary shelter to increase at twice its recent pace. We expect shelter inflation to quickly resume its moderation in May though, as real-time rent measures point to further softening. Excluding shelter, services should be genuinely hot thanks to higher jet fuel costs leading to a jump in airfares.

Meantime, a rebound in used vehicle prices will boost core goods inflation, though price growth for other core goods is likely to cool following March's out-sized gains in apparel and recreational goods.

Looking ahead, we continue to forecast the year-over-year rate of core CPI to remain stuck close to 3.0% this year. Shelter inflation should continue to cool, but progress elsewhere is proving harder to come by. At the same time, slowing wage growth has weighed on consumer purchasing power and will likely limit firms' ability to pass along higher costs. That should help temper broader inflation by year-end even as underlying pressures remain firm.

[\(Return\)](#)

April 2026 Forecast				
	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	Prior	Forecast	Prior
Seasonally Adjusted	Apr.	Mar.	Apr.	Mar.
CPI (Consensus)	0.6	—	3.7	—
CPI (WF Estimate)	0.63	0.87	3.8	2.6
Food	0.19	-0.01	2.9	2.7
Food at Home	0.12	-0.16	2.4	2.0
Food Away from Home	0.29	0.24	3.6	3.8
Energy	3.14	10.87	16.8	12.6
Energy Goods	5.95	21.35	29.6	19.4
Energy Services	0.45	0.41	4.2	5.0
Core CPI (Consensus)	0.30	—	2.7	—
Core CPI (WF Estimate)	0.50	0.20	2.9	2.6
Goods	0.16	0.11	1.3	1.2
Vehicles	0.26	-0.11	-0.7	-1.0
Other Goods	0.11	0.23	2.4	2.4
Services	0.61	0.23	3.4	3.0
Primary Shelter	0.50	0.26	3.1	3.0
"Super Core"*	0.75	0.18	3.8	3.3
Not Seasonally Adjusted	Index	MoM (%)	YoY (%)	
CPI (Consensus)	332.590	—	—	
CPI (WF Estimate)	332.872	0.81	3.8	

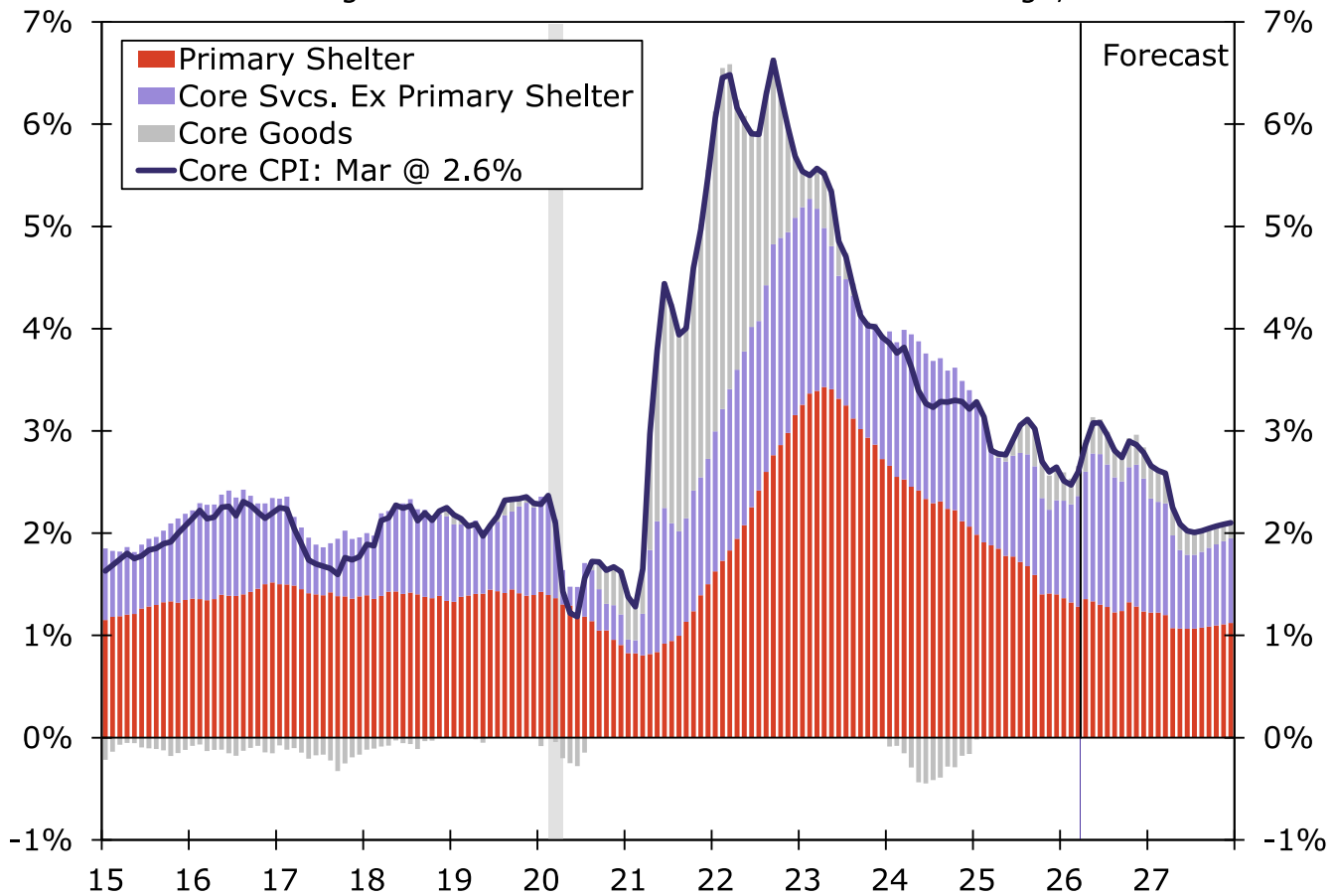
Forecast as of: May 08, 2026; Bloomberg Consensus

*Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

Core Consumer Price Index

Percentage Point Contribution to Year-over-Year Change, SA



Source: U.S. Department of Labor and Wells Fargo Economics

Retail Sales • Thursday

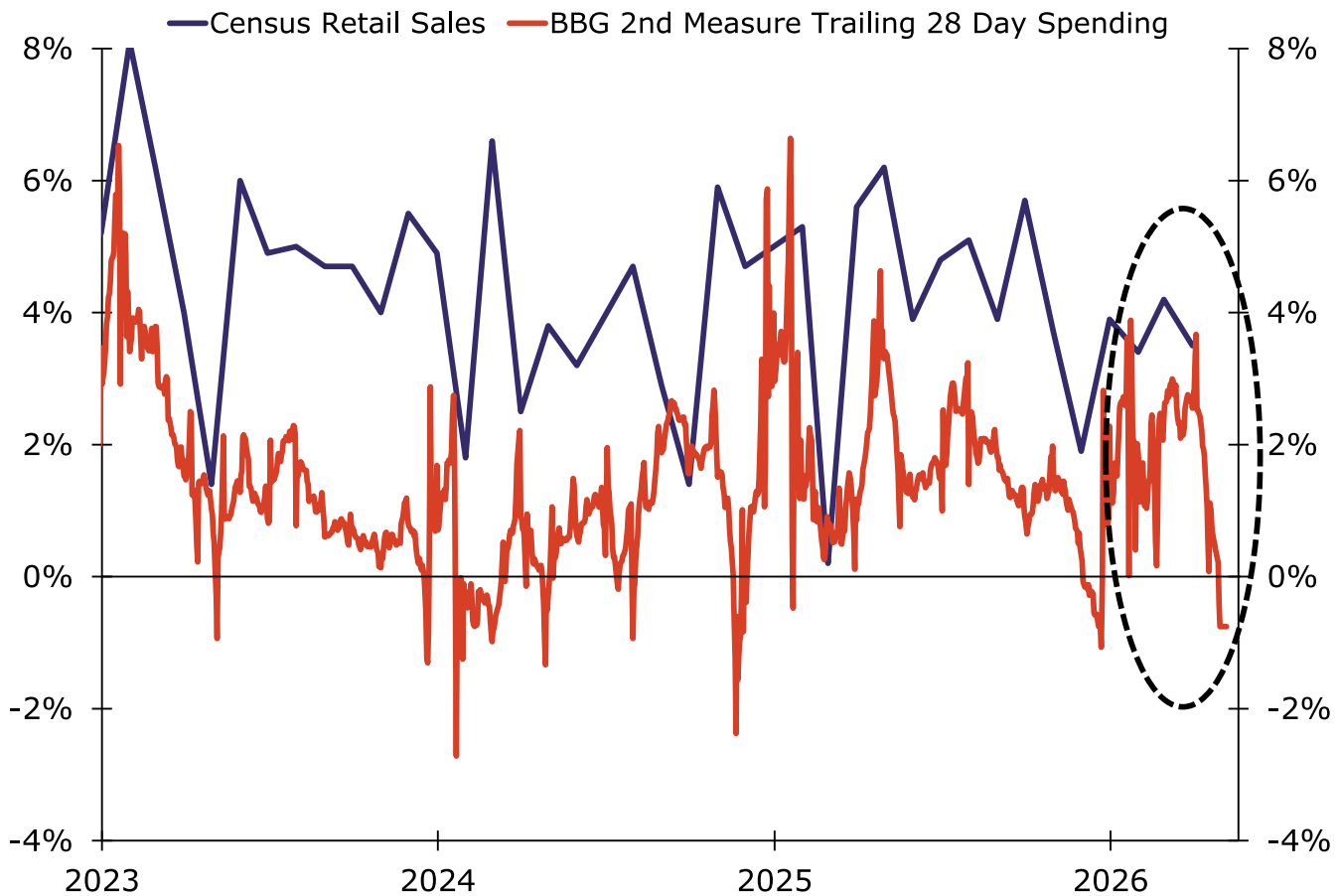
April retail sales data will be misleading at first glance as they will largely reflect higher prices rather than volumes. The data are reported nominally, thus not adjusted for inflation. While we forecast total retail sales rose 0.7% last month, after accounting for an around 0.7% gain in consumer goods prices, real retail sales were likely much weaker, potentially negative.

That's the signal we're getting from high-frequency credit card data, where spending outside gasoline collapsed last month (chart). While more volatile, the card data track decently well with the contours of retail spending.

The spending environment has ultimately grown more challenging as higher gas prices weigh on consumer purchasing power. Real household income, excluding transfer payments like unemployment benefits and social security, has trended lower and now turned modestly negative on a year-ago basis, signaling that compensation remains a key risk to households' ability to spend ahead. Consumers are saving less as a result to keep spending, and they're also relying on credit and/or their balance sheets. This all suggests a slower spending environment ahead.

Consumer Spending Excluding Gasoline

Year-over-Year Percentage Change



Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

[\(Return\)](#)

G10 Week Ahead

U.K. GDP • Thursday

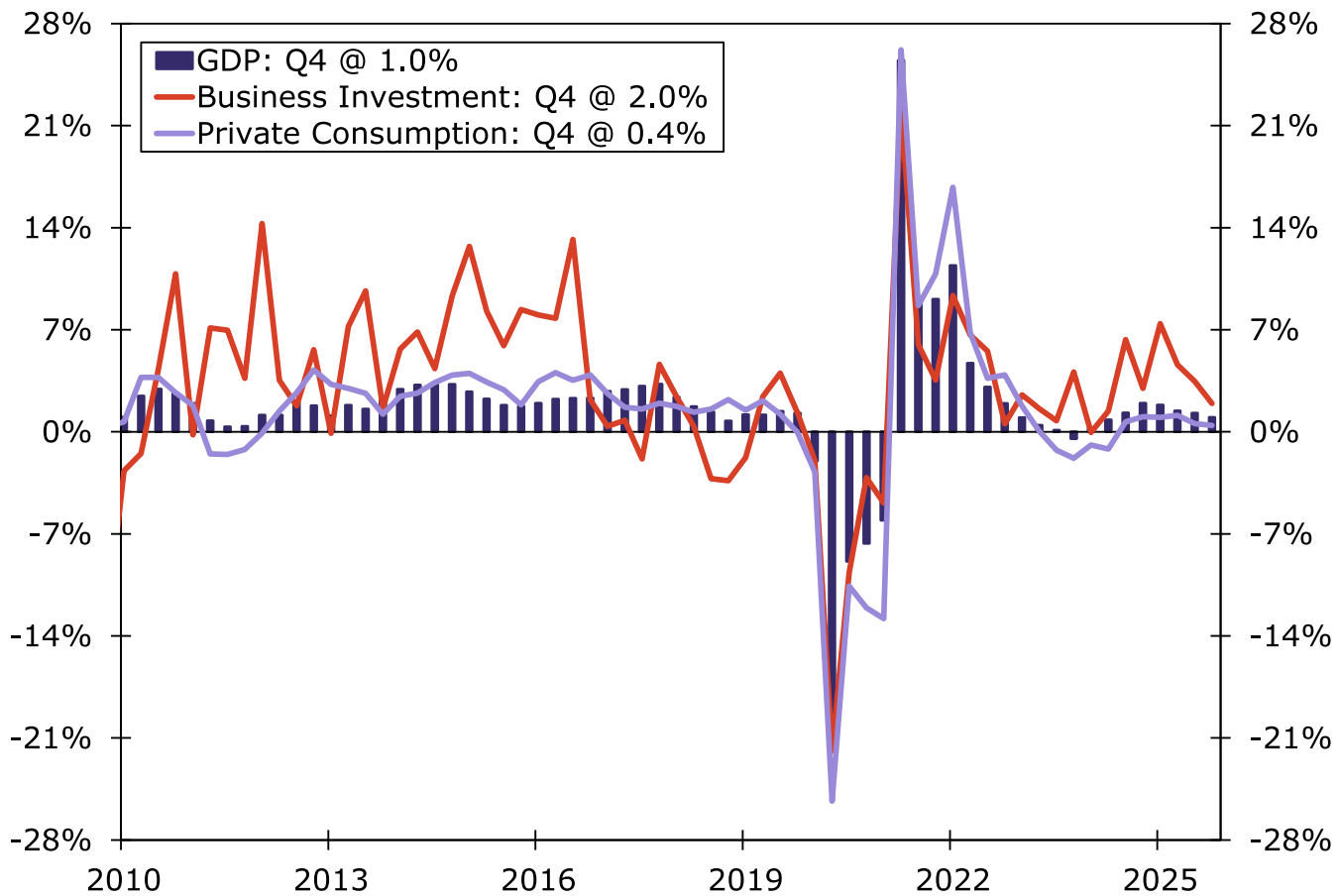
Next week brings the release of UK GDP data for March and Q1-2026. February growth surprised to the upside, with output rising 0.5% month-over-month (aside from manufacturing). For March, we expect GDP to contract by around 0.2%. That would still leave Q1 growth at 0.5%, in line with Bank of England (BoE) recent projections.

March PMIs were weak across manufacturing and services, reflecting softer sentiment and elevated uncertainty tied to the war in the Middle East. Construction was the exception, though that was supported by energy-related demand and a return to more typical weather conditions after February's unusually wet weather.

Against this backdrop, the BoE's recent 8–1 vote to hold the Bank Rate at 3.75% struck us as broadly balanced with a slight hawkish lean. Greater emphasis on scenario-based forecasts highlighted optionality rather than a single outlook, while growth concerns partly offset inflation risks. As such, an upside GDP surprise next week would likely be treated cautiously, especially as anecdotal evidence suggests household and business activity may have been pulled forward, which could have boosted late-March data and skewed risks to the upside. A weaker print would reinforce the Bank's wait-and-see stance. That said, rising fertilizer prices and persistently high energy costs increase the risk of second-round inflation effects. We have therefore revised our Bank Rate outlook to include two hikes this year, up from a baseline of no changes. While uncertainty remains high and tied to developments in the Middle East, even with a rapid resolution, at least one hike may be needed to prevent second-round effects from becoming entrenched.

U.K. GDP, Consumer and Investment Spending

Year-over-Year Percent Change



Source: Bloomberg Finance L.P. and Wells Fargo Economics

[\(Return\)](#)

EM Week Ahead

Brazil IPCA • Tuesday

We expect Brazil's April IPCA to rise a sharp 0.9% month-over-month, pushing headline inflation to around or slightly above the top of the target band at 4.5% year-over-year. Energy remains the key near-term upside risk, with the Middle East conflict lingering and physical supply constraints becoming more binding, driving stronger pass-through into refined products. Food inflation was already firming in March, and higher transport and fertilizer costs should broaden price pressures across food categories in coming months.

While core inflation remains restrained by restrictive real rates, administrative price smoothing and fiscal offsets, particularly in an election year, are adding upside risks to inflation expectations. Median 2026 expectations have risen to 4.9% from 3.9% prior to the US-Iran war, per the Brazilian Central Bank's (BCB) FOCUS Survey. Against this backdrop, we think the BCB is likely to proceed with a cautious cut at the June meeting, but the outlook beyond that has become increasingly uncertain, with a pause in the easing cycle looking more likely.

Source: Bloomberg Finance L.P. and Wells Fargo Economics

[\(Return\)](#)

Economist(s)

 [Tom Porcelli](#)

 [Tim Quinlan](#)

 [Sarah House](#)

 [Aroop Chatterjee](#)

 [Charlie Dougherty](#)

 [Michael Pugliese](#)

 [Jackie Benson](#)

 [Shannon Grein](#)

 [Nicole Cervi](#)

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 5/8/2026 unless otherwise stated. 5/8/2026 11:45:48 EDT.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Securities, LLC ("Wells Fargo Securities"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. Wells Fargo Securities distributes this report directly and through affiliates including, but not limited to, Wells Fargo & Company, Wells Fargo Bank, N.A., Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our internal client website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by Wells Fargo Securities to be reliable, but has not been independently verified by Wells Fargo Securities, may not be current, and Wells Fargo Securities has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of Wells Fargo Securities and may differ from the views and opinions of other departments or divisions of Wells Fargo Securities and its affiliates. Wells Fargo Securities is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither Wells Fargo Securities nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. Wells Fargo Securities is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information. © 2026 Wells Fargo Securities, LLC

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE